

(−8.7%), the DJIA lost 1010 points (−9.3%), the VIX volatility index surged 40% from 24 to 41, some stocks and ETFs declined 60%, 70%, 80% and more—all the way down to pennies. The entire crash lasted about 20 minutes and almost fully rebounded by the end of the day.

At the end of the day the SPX was only down 3.24%, the DJIA was only down 3.20%, and the VIX dropped to 33. While there is much criticism about the structure of the US markets and potential for these large drops, critics have not given nearly enough credit to the overall system and its ability to self-correct. Consider this: The market dropped almost 10% in about a 20 minute period, but then was resilient enough to recover before the end of the day.

I recall the events of May 6 pretty well. I was on a client visit watching the financial news in a hotel lobby at the time of the crash. The network was showing the events in Greece and discussing the potential for a Greece default. Then the crash began, the television showed the declines in the S&P and Dow Jones, but it was too early for any type of discussion or commentary on the situation.

I called the trading desk within minutes and asked what was going on. They were also unaware of the crash in progress, but aware of the decline in prices. I heard people on the trading floor asking if the data was bad, there must have been some lost data connection. No one knew the reason or the extent of what was happening—it was so quick. I heard others in the background stating that Greece was rioting and a default was imminent. When I arrived at the client meeting the financial media showed that the S&P and Dow Jones were down only slightly, but nothing to signal a large crash. I started believing my colleagues, and thought that the decline must have been bad data and not a crash. But then the discussion quickly turned to what happened. It was a “Flash Crash” although the term wasn’t coined until afterwards.

The initial theories were that it was a “fat” finger error, where a single trader entered an order with too many zeros, or a futures trader trading too large a position in too short of a period of time, or something to do with high frequency traders. Questions were being asked if the high frequency traders rigged the market for gain, if they did not provide enough liquidity to the market (when in fact they were not under any obligation to provide liquidity), and whether they have unfair advantage over regular investors because of faster access to the market and more efficiently written programming code.

Regardless of the true reason, many market participants turned on the high frequency traders. It was their fault. What I thought was humorous